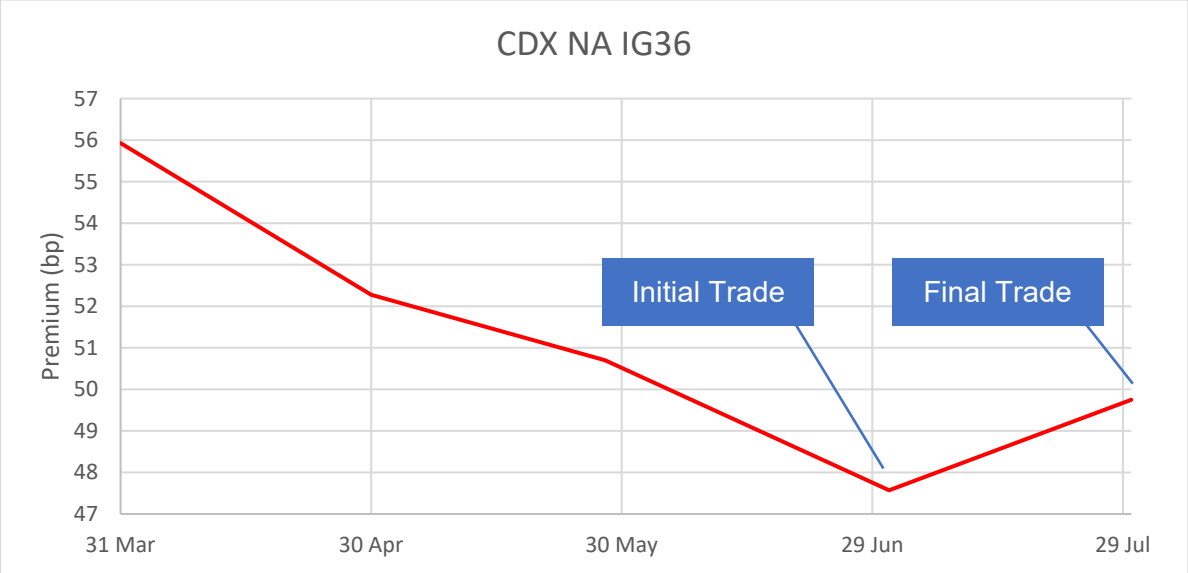
CDX Index Trading

The Assignment

It is early July 2021, and the spread on the CDX.NA.IG36 has been tightening over the past few months.

An investor believes that the market is due a short-term correction, and that the spread will widen. The investor therefore decides to take out a $100m notional position in the IG36 index on Thursday 1st July when the market is at 47.57 bp p.a.

It turns out that the investor's view was correct! At the end of the month the market was more than 2bp wider, and on Friday 30th July the investor decides to terminate the position that same day, unwinding at 49.75 bp p.a. The chart below illustrates what happened…



REQUIRED

1. Remembering that accrual starts at T+1, and that settlement is T+3:
   a. What are the accrual start and end dates?
   b. What are the settlement dates?

2. Should the investor buy or sell as the initial trade on 1st July?

3. What is the up-front payment made as a result of the trade on 1st July? Who pays whom? (Remember that this up-front payment includes both the adjustment for the difference between the prevailing market rate and the fixed coupon of 100bp, *and* the accrued premium since the 21st June Adjusted CDS Date.)

4. What is the total payment made after the trade on 30th July? Again, this will feature the same two elements as in the previous question.

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5. What is the net profit on the trade? (Ignore interest on the timing of payments.)

You can use the spreadsheet template supplied, which gives this useful additional data:

Thursday 1st July 2021		Friday 30th July 2021	
Price:	102.54783161	Price:	102.40830536
PV01 (per $1m):	485.949191	PV01 (per $1m):	479.264748
SDV01 (per $1m):	496.271123	SDV01 (per $1m):	488.871192

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